Why Temasek 2070 can beat CPF OA

The objective: spend the income, leave the capital.
Same S$200,000 budget. More cash income now; a larger contractual USD repayment in 2070.

+S$4,945 a year | +S$198,071.25 capital

Versus OA at 2.5%, with unchanged USD/SGD of 1.275.

1 | The dollar difference

All values in SGD	CPF OA	Temasek	Extra dollars
Normal annual income	5,000	9,945	+4,945
Total income received[1]	220,000	437,580	+217,580
Capital after income is spent[2]	200,000	398,071.25	+198,071.25
Income + ending capital[1]	**420,000**	**835,651.25**	**+415,651.25**

The S$835,651.25 is a lifetime cash total, not an estate value. If all coupons are spent, the amount left at full par repayment is S$398,071.25. These nominal totals are not annualised returns or present values.

2 | Why the numbers work

Price 50 buys US$100 of face value for US$50. A 2.5% coupon therefore pays 5% a year on clean purchase cost. Par repayment doubles that clean USD cost. This is the source of the “2× income, 2× capital” idea.

The exact S$200,000 setup: US$312,000 face × 50% = US$156,000; add US$650 accrued interest. US$156,650 × 1.275 = **S$199,728.75**, leaving **S$271.25**. Each coupon is US$3,900; normal annual coupons are US$7,800. No loan is used.

3 | When “better” holds

Hold to repayment, accept USD exposure, spend the income. The bond leads on gross income and repayment capital in all seven FX cases on page 2. Keep sufficient SGD liquidity so an early sale is not forced.

CPF offers stronger SGD certainty. CPF savings are Government-backed; Temasek debt is guaranteed by Temasek Holdings, not the Government. Bond prices can fall sharply before maturity. Early inheritance is at market value, not par. Only eligible CPF withdrawals can fund this route. [2–4]

Before buying: confirm withdrawal eligibility, executable bond price, FX spread and all fees. The supplied price-50 / 6 Nov 2026 illustration is not a current dealing quote. Higher future OA rates or retained, compounded OA interest change the comparison.

What if USD/SGD changes?

All amounts below are SGD. Each row applies its FX rate to every coupon and to final principal. Entry FX remains 1.275. Scenarios are not forecasts or limits on future currency moves.

A | Cash available each year

USD/SGD	Each half-year coupon	Annual coupons	Extra vs OA / year
1.350	5,265	10,530	+5,530
1.325	5,167.50	10,335	+5,335
1.300	5,070	10,140	+5,140
1.275	**4,972.50**	**9,945**	**+4,945**
1.250	4,875	9,750	+4,750
1.225	4,777.50	9,555	+4,555
1.200	4,680	9,360	+4,360

B | Full cash totals to 6 October 2070

USD/SGD	88 coupons[1]	Ending capital[2]	Combined total[1]	Extra vs OA[1]
1.350	463,320	421,471.25	884,791.25	+464,791.25
1.325	454,740	413,671.25	868,411.25	+448,411.25
1.300	446,160	405,871.25	852,031.25	+432,031.25
1.275	**437,580**	**398,071.25**	**835,651.25**	**+415,651.25**
1.250	429,000	390,271.25	819,271.25	+399,271.25
1.225	420,420	382,471.25	802,891.25	+382,891.25
1.200	411,840	374,671.25	786,511.25	+366,511.25

Even at 1.200: S$9,360 yearly income and S$374,671.25 ending capital. Combined lifetime cash is **S$366,511.25 above** the S$420,000 OA benchmark.

If FX fluctuates: total coupons = US$343,200 × average coupon FX; ending capital = US$312,000 × final FX + S$271.25. Average coupon FX **1.275** with final FX **1.200** gives S$437,580 + S$374,671.25 = **S$812,251.25**.

How the totals are defined

[1] Bond: 88 × US$3,900 = US$343,200, Apr 2027–Oct 2070, assuming no early redemption and full payment. OA: 44 full years × S$5,000 = S$220,000, plus S$200,000 principal. This deliberately grants OA a full 44 years versus the bond's 43 years 11 months from settlement. It is a simple benchmark, not an exact CPF withdrawal ledger.

[2] Includes S$271.25 residual cash, earning no interest. The first coupon includes US$650 already paid as accrued interest. Coupons/interest are spent, not reinvested. No inflation adjustment, extra CPF interest or unknown dealing/custody/FX costs. April 2070 par call would remove the final US$3,900 coupon; other redemption terms also apply.

Sources: [1] Supplied CPF OA and Temasek 2070 report, price-50 model. [2] Temasek Series 21 terms; [3] guarantee FAQ; [4] CPF interest. Official pages checked 14 Nov 2026. Colours: supplied V1.2 Merged reference pair (5 Nov 2026).